
Introduction to Economics

Class 2 — Chapter 1: How economists think

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Universitat de Barcelona · Group A6

17 September 2026

Quiz first

- Answers on the **answer sheet** only — same version number as your question page
- **Graded** — full name on the answer sheet, clearly
- Hand in the answer sheet by **10:12**; keep the question page

ANSWERS · RESPUESTAS

Version — circle yours
Versión — rodea la tuya

Name · Nombre											
1	2	3	4	5	6	7	8	9	10	11	12
13	14	15	16	17	18	19	20	21	22	23	24
1		2		3		4		5		6	

Circle your version number on the answer sheet like this. Twelve questions on section 1.1, twelve minutes; counts toward the in-class quiz mark.

Now in pairs

- Agree on **one answer** per question
- Mark the **two** you are least sure of
- The strips are already collected — no changes

The quiz in numbers

18

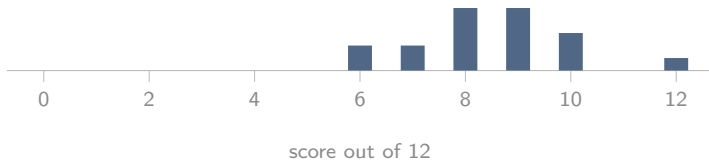
answer strips

8.5

mean · out of 12

8.5

median · out of 12



Economic activity

The level of economic activity in a country is measured by...

A) how much buying and selling takes place



B) how many firms are registered in the country



C) the value of the goods the country sells abroad



D) the size of the government's budget



Blank or illegible: 0 (0 %) · 1 of 12

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78 % (14)

B) how many firms are registered in the country



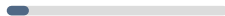
6 % (1)

C) the value of the goods the country sells abroad



11 % (2)

D) the size of the government's budget



6 % (1)

Blank or illegible: 0 (0 %) · 1 of 12

Who supplies the inputs

Who supplies the land, labour and capital that firms use?

A) firms themselves, which own the equipment they use

 33 % (6)

B) households, the individuals in the economy

 33 % (6)

C) banks, which lend the money to buy them

 6 % (1)

D) the government, out of the taxes it collects

 22 % (4)

Blank or illegible: 1 (6 %) · 2 of 12

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What a firm does

In the chapter, a “firm” is an organization that...

A) buys land, labour and capital and produces goods and services



B) supplies land, labour and capital and buys goods for final use



C) decides what a country produces and who receives it



D) brings buyers and sellers together so that exchange can happen



Blank or illegible: 0 (0 %) · 3 of 12

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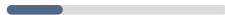
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22 % (4)

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The oven

A bakery's oven is an example of which resource?

A) land, because the oven is fixed in one place

 0 % (0)

B) labour, because the oven does work a baker would do

 6 % (1)

C) capital, because the bakery uses it to make other goods

 78 % (14)

D) a consumer good, because families buy ovens too

 11 % (2)

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Land

Which of these counts as “land” in economics?

A) a tractor working in a field

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B) a farmer's knowledge of the soil

 17 % (3)

C) the oil under the North Sea

 28 % (5)

D) a bank's office building

 56 % (10)

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Scarcity

“Scarcity” means that...

A) society has limited resources and cannot meet every demand

94 % (17)

B) society must decide who gets the goods that are produced

0 % (0)

C) a resource runs out when it is used too quickly

6 % (1)

D) some households cannot afford food and shelter

0 % (0)

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Need or want

In the chapter's sense, which of these is a need rather than a want?

A) furniture for the flat you live in

 0 % (0)

B) drinking water

 94 % (17)

C) this season's style of coat

 6 % (1)

D) a smartphone to keep in touch with family

 0 % (0)

Blank or illegible: 0 (0 %) · 7 of 12

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What economics studies

According to the textbook, economics is the study of how society...

A) manages its scarce resources



B) makes its firms as profitable as possible



C) helps people and firms become wealthier



D) sets the prices of goods and services in markets



Blank or illegible: 0 (0 %) · 8 of 12

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28 % (5)

Blank or illegible: 0 (0 %) · 8 of 12

Unpaid care work

Someone looks after an elderly relative at home without pay. According to the chapter, does economics study this work?

A) yes — output produced without any income also counts



B) yes, but only if the carer receives a benefit for it



C) no — with no money paid, there is nothing to measure



D) no — that work belongs to sociology rather than economics



Blank or illegible: 0 (0 %) · 9 of 12

Unpaid care work

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Unemployment in Spain

In Spain, many people who want a job cannot find one. According to the chapter, what is scarce in this situation?

A) labour, because so many people are out of work



B) job vacancies, because there are not enough jobs to go round



C) money, because firms cannot afford to hire



D) skills, because workers lack the training firms need



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C) money, because firms cannot afford to hire

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D) skills, because workers lack the training firms need

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Blank or illegible: 1 (6 %) · 10 of 12

Economics and other fields

According to the chapter, economics. . .

A) draws on psychology, sociology, law and maths, among other fields

94 % (17)

B) is a branch of mathematics

6 % (1)

C) studies only decisions that involve money

0 % (0)

D) stands apart from the other social sciences

0 % (0)

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Opportunity cost of this class

You skip a two-hour shift that pays €20 to come to this class. You already have a monthly transport pass. The opportunity cost of attending is...

A) €20, the wage you gave up



B) €20 plus the share of your tuition fees for this class



C) €20 plus the price of the transport pass



D) nothing, because the class is already paid for



Blank or illegible: 0 (0 %) · 12 of 12

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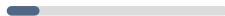
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Blank or illegible: 0 (0 %) · 12 of 12

Break

Ten minutes

Materials, and next week

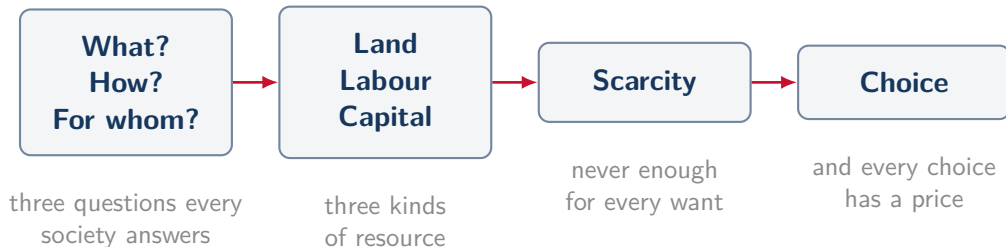


- Materials: pkocourek.com/teaching/intro-economics
- No class next week · back Monday 28 September and Thursday 1 October

Plan for today

10:00	Quiz — section 1.1, on paper
10:12	In pairs, then the quiz question by question
11:00	Break
11:10	How people make decisions
11:30	How people interact
11:50	The economy as a whole (if time)
11:57	Before 28 September

Monday in one line: wants exceed resources, so we choose



Economics: how people, firms and societies handle that choice.

How people make decisions

Trade-offs, opportunity cost, the margin, incentives

Every choice closes a door

- You: an hour of study, or an hour of work
- The city: a metro line, or public housing
- Society: cleaner air, or cheaper production
- Policy: a bigger cake, or fairer slices

Efficiency vs **equity**. Seeing the **trade-off** shows the price; it does not choose.

The biggest cost of your degree is the wage you are not earning

Counts

- The job you would have had
- Fees not yet paid
- Extra rent — only the extra

Does not count

- Food you would eat anyway
- Money already spent and gone — **sunk**

Opportunity cost: the best alternative given up — Monday's Question 7.

Thinking at the margin

A coach to Girona: 50 seats, 30 sold, leaving in ten minutes. The trip costs the company €400 whether 30 or 31 people ride. A student offers €5 for a seat. Take it?

A) No — €400 over 50 seats is €8 a seat; €5 is below cost

B) Yes — one more rider costs almost nothing

C) Only if the other 19 seats sell too

D) No — unfair to those who paid full price

Thinking at the margin

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Compare the *extra* benefit with the *extra* cost — not the average.

Fifteen cents cut plastic-bag use by more than ninety per cent

Ireland, 2002: 15 cents a bag, paid at the till

Spain, 2018: no more free bags

Change the price, and behaviour follows — people respond to **incentives**.

Convery, McDonnell & Ferreira (2007), *Environmental and Resource Economics*.

A fine turned lateness into a purchase

Day-care centres, Haifa: a small fine for late pick-ups

Late pick-ups went up — and stayed up

Incentives always work. Not always the way you planned.

Gneezy & Rustichini (2000), “A Fine Is a Price”, *Journal of Legal Studies*.

Should UB pay you to go to the gym?

Two minutes, in pairs:

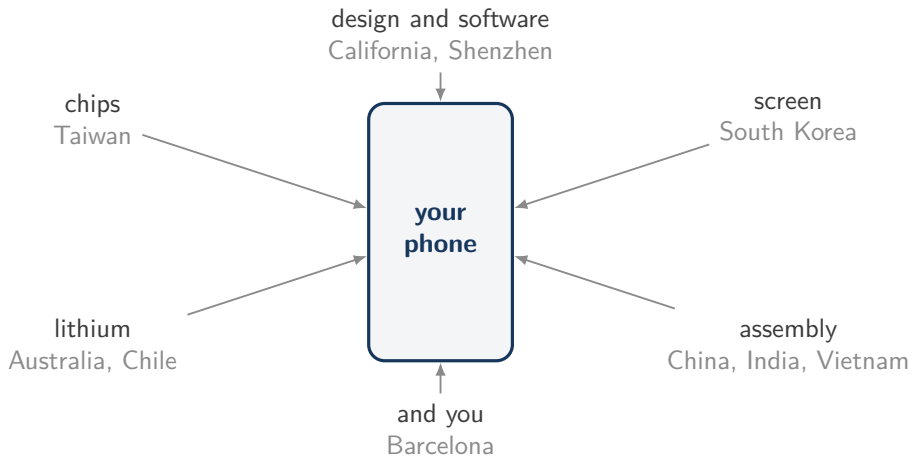
- Would you go more often?
- Who might go *less*?
- What else could the same money buy?

Gneezy, Meier & Rey-Biel (2011), *Journal of Economic Perspectives*.

How people interact

Trade, economic systems, markets

Nobody in this room could make a phone alone



Each part made where it is made best; **trade** puts them together.

Planners, prices, or both — Spain chooses both

Planned	Market	Mixed
Central planners decide	Prices and private choices decide	Both, in different sectors
Soviet Union, until 1991	no country fully	Spain: public hospitals, private restaurants

An **economic system** is simply who answers the three questions.

Dinner comes from self-interest, not from kindness

“It is not from the benevolence of the butcher, the brewer, or the baker that we expect our dinner, but from their regard to their own interest.”

Adam Smith, *The Wealth of Nations*, 1776

Nobody plans Barcelona's bread — the **invisible hand**.

Three cases where the market's answer is not the best one

Externality	Traffic noise in the Eixample; crowds at the Sagrada Família
Market power	One water company, one price
Equity	Markets reward; they do not share

A government *can* do better in these cases. Whether it *will* is another question.

The economy as a whole

Micro and macro, productivity, money

Micro looks at one market; macro at all of them at once

Micro

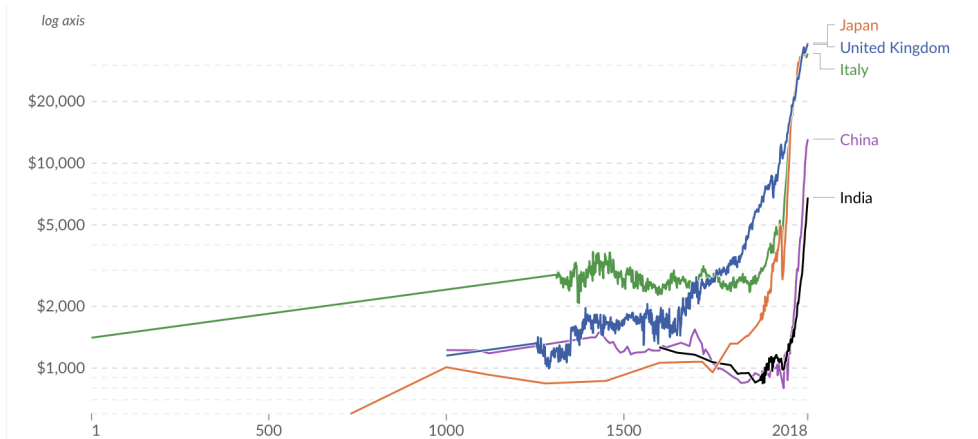
- A room for rent in Gràcia
- A bakery in Sants
- A charge on cars entering the centre

Macro

- Unemployment in Spain
- Prices rising everywhere at once
- Why some countries grow faster

Same economy, two lenses.

Incomes rose where output per worker rose



GDP per person is what a country makes, divided by its people. **Productivity** is the lever.

Real GDP per person, log scale, 1–2018. CORE, *The Economy*; Maddison Project Database.

Zimbabwe printed a hundred-trillion-dollar note in 2009

More money, the same goods

⇒ **every note buys less**

Germany 1923 · Zimbabwe 2008–09 · Venezuela 2018

Inflation: prices rising across the board. In every hyperinflation, the printing press ran first.

Practice

Five problems, in pairs — three minutes each

Problem 1 — What did the year cost?

Marta leaves a job paying €1,200 a month to study for a year. Fees €1,100, books €300. She lives with her parents either way, and would buy the €600 metro pass anyway. Opportunity cost of the year?

A) €1,400

B) €14,400

C) €15,800

D) €16,400

Problem 1 — What did the year cost?

Marta leaves a job paying €1,200 a month to study for a year. Fees €1,100, books €300. She lives with her parents either way, and would buy the €600 metro pass anyway. Opportunity cost of the year?

A) €1,400

B) €14,400

C) €15,800 ✓

D) €16,400

Wages forgone €14,400 + fees €1,100 + books €300. Home and metro: the same either way.

Problem 2 — The ticket is bought

A non-refundable €40 ticket for tonight's concert. It is pouring, and a night on the sofa suddenly sounds good. What should count in the decision?

- A)** The €40 — you paid, so you go
- B)** Only tonight: the concert, or the sofa
- C)** The €40 plus the metro fare
- D)** Nothing — flip a coin

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The €40 is sunk: gone whichever you choose. Only the extra costs and benefits from here matter.

Problem 3 — A bounty on rats

To get rid of rats, a city pays a reward for every rat tail handed in. After a few months you would expect...

- A)** far fewer rats
- B)** tail-less rats, and rat farms in the suburbs
- C)** no change — people do not chase rats for money
- D)** cats out of work

Problem 3 — A bounty on rats

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C) no change — people do not chase rats for money

D) cats out of work

Hanoi, 1902. It happened. The reward was for tails, so tails were what people produced.

Problem 4 — Micro or macro?

Three of these are microeconomic questions. Which is the macroeconomic one?

- A)** Why did rents in Gràcia rise this year?
- B)** Should cars pay to enter the Eixample?
- C)** Why is unemployment in Spain so high?
- D)** How many croissants should a bakery in Sants bake?

Problem 4 — Micro or macro?

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One market, one firm, one policy in one market: micro. The whole economy: macro.

Problem 5 — Market failure, or the market working?

Which of these is *not* a market failure?

- A) A factory's smoke settles on the neighbours' washing
- B) The only ferry company to an island doubles its fares
- C) Strawberry prices double after a bad harvest
- D) A student's flu jab also protects her flatmates

Problem 5 — Market failure, or the market working?

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B) The only ferry company to an island doubles its fares

C) Strawberry prices double after a bad harvest ✓

D) A student's flu jab also protects her flatmates

C: scarcity, and the price says so · A: externality · B: market power · D: externality, a good one.

Before Monday 28 September

- Read Mankiw & Taylor, Ch. 17, pp. 367–380 — production possibilities, specialisation, comparative advantage
- And Ch. 20, pp. 437–438 — the circular flow
- No class next week — next class Monday 28 September, 10:00



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